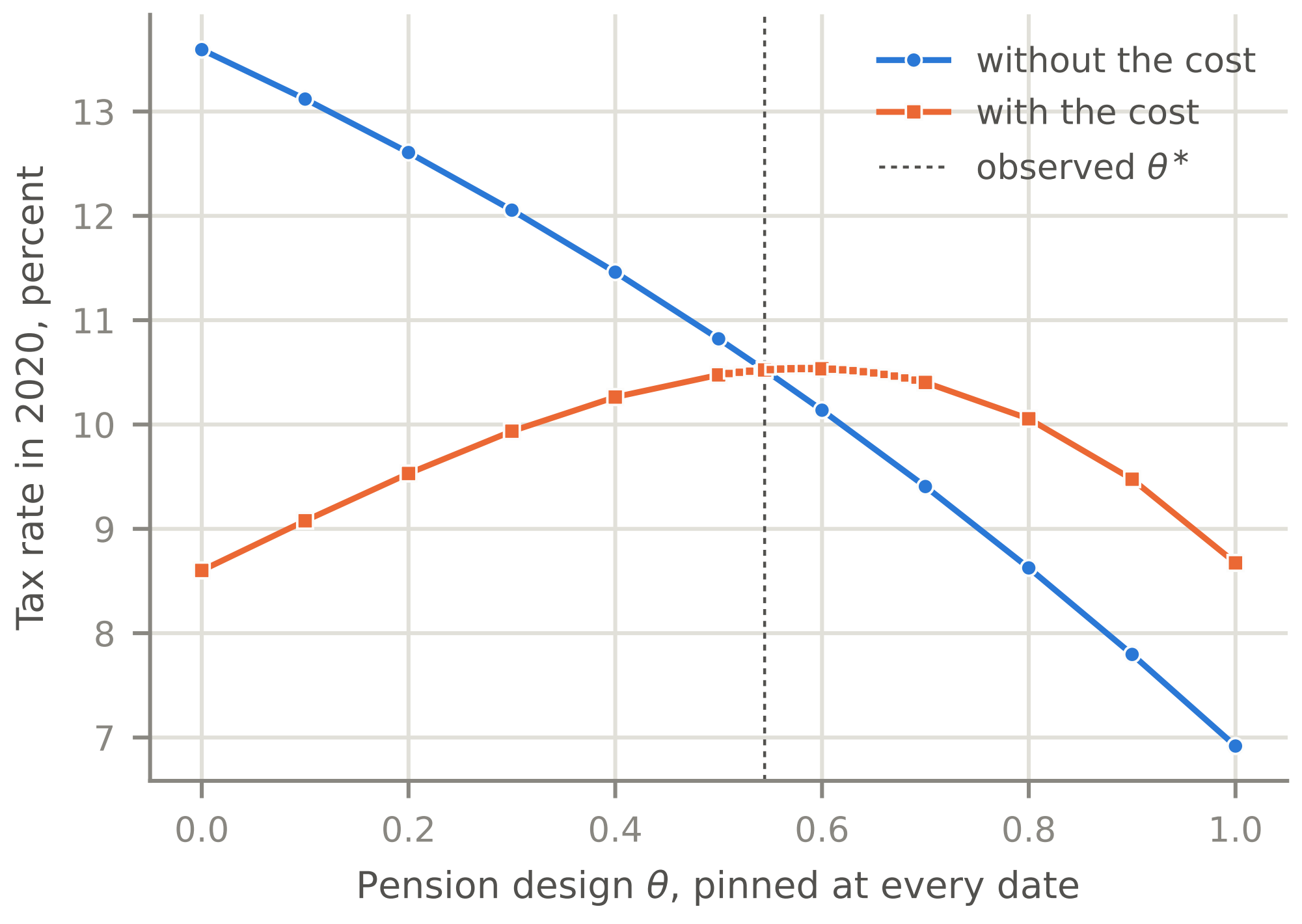
without the cost
with the cost
observed θ*
Tax rate in 2020, percent
13
12
11
10
9
8
7
0.0
0.2
0.4
0.6
0.8
1.0
Pension design θ, pinned at every date